

The Morning Brief

MAY 9, 2026

AI Reasserts

Weekend Edition — Semis Carry Records on a Strong Jobs Print, Iran Framework Pending Into Trump–Xi.

SPY (FRI CLOSE) \$737.62 · ↑~2.3% on the week	AMD (FRI CLOSE) \$455.19 · Sharply higher on the week	BRENT (BNO) \$53.11 · ↓7% on the week	BITCOIN (LIVE) ~\$80,400 · Holding the \$79K–\$82K range	FEAR & GREED 38 · Fear
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SECTION 01

Markets — Week in Review

SEMICONDUCTORS CARRY THE TAPE THROUGH A VOLATILE WEEK — RECORDS PRINT AGAIN FRIDAY ON A STRONG JOBS SURPRISE

The week opened with the AI complex repriced on AMD’s Wednesday print and closed with a second leg higher Friday after the April BLS employment report came in at +115,000 versus the +62,000 consensus per the BLS release, with the unemployment rate unchanged at 4.3%. The S&P 500 and Nasdaq printed fresh records Friday alongside Wednesday’s highs, with SPY at \$737.62 (+0.83% on the day) and Nasdaq +2.34% as XLK led sectors at +3.44%. AMD added a further +11.44% Friday to \$455.19 on continued read-through from Lisa Su’s Meta-6 GW commentary, QCOM advanced +8.17% to \$219.09 on a Daiwa upgrade per Yahoo coverage, MRVL +6.32%, and FTNT extended +5.65% to \$114.07 in the wake of Wednesday’s +20% Q1-print move. The Hormuz exchange continued in parallel — per CNBC, NPR, and PBS coverage, Iran fired ballistic missiles and drones at the UAE Friday, and US forces disabled two Iranian tankers (M/T Sea Star III and M/T Sevda) running the Gulf-of-Oman blockade — but the equity tape absorbed the headlines and closed the week with the AI sleeve as the dominant signal.

SPY (FRI CLOSE)	\$737.62 · ↑~2.3% on the week · Fresh records
NASDAQ / RUSSELL 2K	\$711.23 ↑2.34% Fri · \$284.17 ↑0.68% Fri
SECTOR LEADERS · WEEK	XLK ↑3.44% Fri · AI & cybersecurity reprice both legs
SECTOR LAGGARDS · WEEK	XLE ↓0.45% Fri · XLU ↓0.89% Fri · Crude weekly ↓~6%
APRIL NFP	+115K vs +62K est · UR 4.3% · AHE +0.2% MoM
MICHIGAN SENTIMENT PREL	48.2 · Fresh record low per UMich SCA
CARSON’S ACTIVE LEVEL	SPY \$645.80 support · Untested (Fri low \$734.57)

HARD DATA BEATS, SOFT DATA HITS RECORD LOWS — THE DIVERGENCE THAT KEEPS DEFINING THE MACRO BACKDROP

The April BLS payroll surprise (+115K against +62K consensus) and the steady 4.3% unemployment rate are consistent with a labor market that continues to expand at the margin even as the Iran shock works through the consumer survey complex. The University of Michigan’s preliminary May reading at 48.2 marks the weakest print on records going back to 1952 per UMich coverage, with the current-conditions sub-index dropping 9% on energy-driven price concerns. CME FedWatch now prices roughly a 28% probability of a June 25-bp cut and a 70% hold, with Polymarket implying a 56% probability of zero cuts in 2026 per published data. The

hard-data resilience is reinforcing the “higher-for-longer” framing while the soft-data deterioration is the offset; for IOWN, the rate-sensitive utility and dividend names (NEE \$93.10, BKH \$75.23, ATO \$180.87) carry the principal

sensitivity if the soft-data signal eventually pulls policy expectations forward.

When the AI sleeve repriced again Friday in the same week the indices absorbed a Hormuz exchange and a record-low sentiment print, the tape is communicating that the physical-AI capex story is the durable signal and the geopolitical and macro noise is being filtered as the variable. The physical world matters.

Geopolitics

HORMUZ EXCHANGE CONTINUES INTO THE WEEKEND — IRAN’S FRAMEWORK RESPONSE PENDING, TRUMP–XI FIVE DAYS OUT

The Hormuz track entered the weekend with the framework response still outstanding from Tehran. Per CNN, Al Jazeera, and Times of Israel coverage, Secretary Rubio publicly stated the US expects Iran’s reply to the one-page, fourteen-point memorandum within the Friday window, and Iranian Fars news reported “sporadic clashes” between Iranian and US naval forces in the Strait through Friday. The proposed framework would declare an end to the war launched on February 28, open a thirty-day window for detailed negotiations, and lift the Iranian-imposed restrictions on Hormuz transit that have been in place since early March per Axios reporting. Friday’s incidents continued to test it: per CNBC and PBS reporting, Iran fired ballistic missiles and drones at the UAE (three wounded per the UAE Defense Ministry), and US forces disabled two Iranian tankers attempting to evade the Gulf-of-Oman blockade. The Trump–Xi Beijing summit on May 14–15 now sits five days out and, per CNBC and SCMP coverage, will frame Iran rather than tariffs or rare earths as the principal agenda item. Brent (BNO) closed Friday at \$53.11 (–1.04% on the day) for a weekly decline of roughly 6% per CNBC and TradingEconomics coverage of weekly losses; the energy complex appears to be discounting a constructive framework outcome rather than the ongoing exchange.

SANCTIONS TIGHTEN AS THE DIPLOMATIC TRACK STRAINS — THE FRAMEWORK WINDOW IS NARROWING RATHER THAN CLOSING

Per Reuters reporting Friday, the US imposed fresh sanctions on entities accused of aiding Iran’s weapons sector and revised its UN resolution on Iran with China and Russia still expected to veto, while Secretary Rubio publicly questioned allies’ support on the Iran file following his Italy talks. Reuters separately reported a suspected oil spill near Iran’s Kharg Island export hub visible on satellite imagery, and that Russia’s Lavrov urged the UAE to support the US–Iran talks. Citi commented that oil could rise further if the talks remain thorny per Reuters, and Russia’s diplomatic outreach indicates the broader great-power architecture is now actively engaged in the framework outcome. The IOWN defense exposure (LMT \$506.51 –1.15% Fri, GD \$346.53 –0.35% Fri) finished marginally softer in a week where the framework-breakdown hedge has been priced down on the diplomatic-

progress assumption; in a scenario where the framework is rejected and the Hormuz exchange escalates, the sleeve carries the most direct re-pricing optionality.

IRAN RESPONSE	Pending into the weekend · Sporadic Hormuz clashes per Fars
FRIDAY INCIDENTS	Iranian missile/drone attack on UAE · US disables 2 Iranian tankers
US POSTURE	Fresh sanctions · UN resolution revised · Rubio queries allies
TRUMP–XI SUMMIT	May 14–15 Beijing · 5 days out · Iran the lead topic
CRUDE (WEEKLY)	BNO ↓~6% on framework optimism · Citi flags upside risk
DEFENSE HEDGE	LMT \$506.51 · GD \$346.53 · Priced down on framework progress

On Our Radar

1. Week Ahead — April CPI Tuesday May 12 is the cleanest read into the Trump–Xi summit. The April CPI release lands Tuesday at 7:30 AM CT per the BLS schedule, with consensus expectations near +3.7% headline YoY and +2.7% core per Schaeffer's and CMC Markets coverage of the week-ahead calendar. Cisco reports Wednesday May 13 per company release schedules, NFIB Small Business Optimism prints Tuesday, and Existing Home Sales Monday. The Trump–Xi Beijing summit on May 14–15 is the dominant event and will frame any continuation of the AI-sleeve repricing or, alternatively, the energy-sleeve framework-breakdown trade. *Research Reveals Opportunities.*

2. AMD & QCOM Reprice the Semiconductor Complex for the Second Consecutive Week — AI-Edge Sleeve Now the Tape's Dominant Signal. AMD finished Friday at \$455.19 (+11.44%) on continued read-through from the Wednesday Meta-6 GW commentary, capping a sharply higher week for the name on the cumulative daily moves. QCOM advanced +8.17% to \$219.09 Friday on a Daiwa Outperform upgrade with a \$225 price target per Yahoo Finance coverage, characterized as a re-rating from handset cyclical to AI-infrastructure name on hyperscaler-data-center commentary. MRVL +6.32% to \$170.13, NVDA +1.75% to \$215.20 ahead of the May 20 print per WallStreetHorizon, and the AI-edge cohort (LRCX +2.63%, NXPI +1.56%, KEYS +1.48%) participated. The AI-sleeve revaluation is now extending across two trading weeks and remains the highest-conviction physical-AI-infrastructure expression in the IOWN book. *Think Like an Owner.*

3. VST Beat Q1 by a Wide Margin and Still Closed –4.05% — Hedge Gain & Retail Softness Tempered Buyside

Enthusiasm. Vistra reported \$2.87 EPS against a \$2.21 consensus per Yahoo Finance, with \$1.03B Q1 net income and \$1.49B Adjusted EBITDA per the company release; FY2026 Adjusted EBITDA guidance was reaffirmed at \$6.8B–\$7.6B and Fitch joined a second major agency in upgrading VST to Investment Grade. VST closed Friday at \$147.72 (–4.05%), what Yahoo coverage characterized as a typical post-earnings consolidation despite the beat — the print included an unrealized hedge gain of approximately \$723M and the retail segment EBITDA dropped to \$68M from \$184M on record-mild Texas weather, both of which appear to have tempered the headline read. The Cogentrix 5,500-MW gas portfolio acquisition remains targeted to close in 2H 2026 and the Meta 20-year nuclear PPAs at Perry, Davis-Besse, and Beaver Valley (totaling 2,609 MW) continue to anchor the data-center thesis per company materials. *Avoid Erosion.*

4. Cybersecurity Sleeve Extends — FTNT Adds Another +5.65% Friday on Top of Wednesday's +20% Move.

FTNT closed Friday at \$114.07 (+5.65%) per the data drop, extending the Wednesday Q1-print rally to a new range as analysts upgraded the stock to Buy per Yahoo coverage, with the company guiding Q2 EPS of \$0.72–\$0.76 against the \$0.68 consensus and FY2026 EPS to \$3.10–\$3.16. The cybersecurity sub-theme has now compounded across two trading sessions and sits as the cleanest beneficiary of elevated Iran-related cyber risk and OT-security demand. The Bitcoin complex stabilized into the weekend with IBIT +0.11% Friday to \$45.45 and ETHA +1.04% to \$17.48 per the data drop; spot Bitcoin was holding the \$79,000–\$82,000 weekend range per Fortune coverage, with COIN +4.25% Friday to \$201.16 recovering part of Thursday's post-print decline.

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